

Bank reported strong numbers – PAT grew by 53% yoy to INR 7 bn vs. our expectation of INR 6 bn led by strong advances growth, margin expansion and higher than expected trading income.).

- NII reported 19% yoy growth to INR 17.6 bn led by strong advances growth (20% up yoy vs. 12% growth seen in Q1) and margin expansion
- Within advances, wholesale advances grew at strong pace of 19% yoy and retail advances by 20.2% yoy. In retail segment, retail, gold loans showed stupendous growth of 28.1% yoy and auto loans 26% yoy. Management is very optimistic of growth going forward, It is witnessing sizeable demand coming from working capital loans and capex cycle is seeing uptick across the sectors. This optimism is being witnessed after many years
- Margins expanded by 20 bps qoq to 3.4% (calculated), which is one of highest margins seen in last many years.
- Other income grew by 24% yoy to INR 6.1 bn vs. INR 4.5 bn in Q1FY23 led by extraordinary growth in fee income (44% yoy) and higher trading income (INR 800 mn vs. INR 250 mn qoq).
- Incremental slippages during the quarter was at INR 3.8 bn vs. INR 4.4 bn in Q1. In % terms, gross NPAs came down from 2.7% to 2.5% qoq. For the full year, management expects full year credit cost is expected to be at ~50-55 bps for credit cost for FY23 period (i.e. H2FY23 slippages at ~INR 9-10 bn
- During the quarter, capital consumption is ~ 75 bps. CAR, including Q2FY23 profits is likely to be at 14%. The bank has board approval or enabling resolution to raise capital to the tune of ~Rs10 bn. And if the environment is conducive, it would likely raise capital in early FY24

Financial Summary

Y/E Mar (Rs Bn)	FY21	FY22	FY23E	FY24E	FY25E
NII	55.3	59.6	70.4	83.8	99.0
Net profit	15.8	19.4	26.8	32.4	38.2
Networth	161	188	211	240	274
Adj BVPS	73	83	93	106	120
EPS (Rs)	7.9	9.2	12.7	15.4	18.2
P/ABV (x)	1.6	1.4	1.2	1.1	1.0
P/E (x)	14.6	12.5	9.0	7.5	6.3

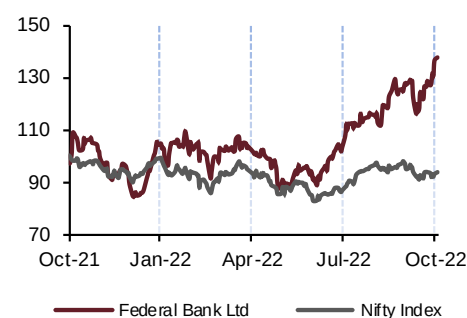
Source: Dalal & Broacha Research, Company

Rating	TP (Rs)	Up/Dn (%)
BUY	157	19

Market data

Current price	Rs	132
Market Cap (Rs.Bn)	(Rs Bn)	277
Market Cap (US\$ Mn)	(US\$ Mn)	3,370
Face Value	Rs	2
52 Weeks High/Low	Rs	133 / 79
Average Daily Volume	('000)	66,561
BSE Code		500469
Bloomberg		FB.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	-	-
Public	100	100
Total	100	100

Source: Bloomberg

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Outlook & Valuations

Visibility of earnings of the bank is strong going forward; the bank is registering one of the best return ratios witnessed in last many years. Core operational performance is improving led by strong asset growth and better margin outlook. It is trading at 1.2x/1.1x/1x on FY23e/FY24e/FY25e ABV on FY24e ROE of 14.4%/ROA of 1.2%. We retain BUY rating on the stock with the revised TP of INR 157, valuing the bank at 1.3x FY25e ABV, giving upside of 19% from current levels. We are introducing FY25 estimated earnings and valuations are being rolled forward from FY24e earlier to FY25e now.

Con-call Highlights

- The bank is very optimistic on growth outlook going forward. It is witnessing sizeable demand coming from working capital loans and capex cycle is seeing uptick across the sectors. This optimism is being witnessed after many years
- Management is expecting full year ROA of 1.25% for FY23 vs. 1.2% for H1FY23
- Current run-rate of the advances is likely to continue. The bank sees advances growth in high-teens and deposits by mid-teens.
- Outlook on the margins –Current run-rate of margins expected to continue in balance part of the year – full year margins anticipated to be at 3.25%+. 65% book is MCLR linked or external rated book. The bank is not likely to pass all the increase repo rates to savings deposits. Q2FY23 margins at 3.3% is nearly at all-time high levels
- 10-12% of the incremental deposits is coming from the fintech partnerships
- Fee income has shown strong growth (44% yoy) led by strong volume growth in credit growth.
- In wholesale advances, banks has got the back the repricing power back On NRI deposits, the bank is gaining share C/I ratio is expected to be at 48% for FY23 (H1FY23 C/I ratio 50.6%); costs has been upfronted
- Profits have been used to increase the PCR ratio – on qoq basis, PCR improved from 66% from 69%
- During the quarter, capital consumption is ~ 75 bps. CAR, including Q2FY23 profits is likely to be at 14%. The bank has board approval or enabling resolution to raise capital to the tune of ~Rs10 bn. And if the environment is conducive, it would likely raise capital in early FY24
- Asset quality outlook – Second half slippages would be at INR 900-1000 cr in H2FY23 vs. INR 819 in H1FY23. Full year credit cost is expected to be at ~50-55 bps for credit cost for FY23 period
- In restructured book, 70% of book has come of the moratorium
- War of deposits is likely to intensify going forward in the industry

Quarterly Financials

(in Mn)	Q2FY23	Q2FY22	YoY (%)	Q1FY23	QoQ (%)	H1FY23	H1FY22	YoY (%)
Interest earned	4020.8	3379.3	19.0	3628.9	10.8	7649.6	6735.0	13.6
-Interest/discount on advances/bills	3222.7	2674.9	20.5	2886.8	11.6	6109.5	5346.0	14.3
-Income on investments	667.4	581.2	14.8	629.5	6.0	1296.9	1171.8	10.7
-Interest on bal. with RBI	60.2	66.6	-9.7	44.8	34.3	105.0	103.2	1.7
-Others	70.5	56.6	24.7	67.8	4.1	138.3	114.0	21.3
Interest expenses	2259.0	1899.8	18.9	2024.4	11.6	4283.3	3837.1	11.6
Net Interest Income (NII)	1761.8	1479.4	19.1	1604.5	9.8	3366.3	2897.9	16.2
Other Income	609.5	491.7	24.0	452.6	34.7	1062.1	1139.9	-6.8
Total income	2371.4	1971.1	20.3	2057.1	15.3	4428.5	4037.8	9.7
Operating expenses	1159.1	1059.0	9.5	1083.8	7.0	2242.9	1992.4	12.6
-Employee cost	515.6	571.9	-9.8	499.3	3.3	1015.0	1100.2	-7.8
-Other operating expenses	643.5	487.1	32.1	584.4	10.1	1227.9	892.2	37.6
Operating profit	1212.2	912.1	32.9	973.4	24.5	2185.6	2045.4	6.9
Provision for contingencies	267.9	292.6	-8.5	166.7	60.7	434.5	932.6	-53.4
PBT	944.4	619.5	52.5	806.7	17.1	1751.1	1112.8	57.4
Provision for taxes	240.7	159.2	51.2	206.0	16.8	446.7	285.3	56.6
Net profit	703.7	460.3	52.9	600.7	17.2	1304.4	827.6	57.6
Equity	421.9	420.3	0.4	420.7	0.3	421.9	420.3	0.4
EPS	16.68	10.95	52.3	14.28	16.8	30.92	19.69	57.0
Ratios (%)								
Int. exp/Int earned (%)	56.2	56.2	-	55.8	-	56.0	57.0	-
Cost/Income ratio (%)	48.9	53.7	-	52.7	-	50.6	49.3	-
Gross NPAs (Rs)	4031.1	4445.8	-9.3	4155.3	-3.0	4031.1	4445.8	-9.3
Net NPAs (Rs)	1262.4	1502.4	-16.0	1420.3	-11.1	1262.4	1502.4	-16.0
Gross NPAs (%)	2.46	3.24	-	2.69	-	2.5	3.2	-
Net NPAs (%)	0.78	1.1	-	0.9	-	0.8	1.1	-
ROA (%)	0.3	0.2	-	0.3	-	1.5	1.5	-
CAR (%)	13.8	15.0	-	14.6	-	13.8	15.0	-
Balance Sheet (Rs.mn)								
Sources of Funds								
Capital	422	420	0.4	421	0.3	422	420	0.4
Reserves and Surplus	19,327	17,308	11.7	18,972	1.9	19,327	17,308	11.7
Shareholders Funds	1,45,369	1,22,397	18.8	137866	5.4			-
Deposits	1,89,146	1,71,995	10.0	1,83,355	3.2	1,89,146	1,71,995	10.0
Borrowing	20,413	10,784	89.3			20,413	10,784	89.3
Other Liabilities and Provision	7,805	6,367	22.6			7,805	6,367	22.6
TOTAL	17,72,289	13,90,371	27.5	1652634		2,37,112	2,06,874	14.6
Applications of funds								
Cash and Balances with Reserve Bank of India	12,654	16,686	-24.2			12,654	16,686	-24.2
Balances with Banks and Money at Call and Sh	2,339	5,305	-55.9			2,339	5,305	-55.9
Investments	43,571	36,977	17.8		#DIV/0!	43,571	36,977	17.8
Advances	1,61,240	1,34,405	20.0	1,51,689	6.3	1,61,240	1,34,405	20.0

Source: Dalal & Broacha Research, Company

Financial

P&L (Rs Bn)	FY20	FY21	FY22	FY23e	FY24e	FY25e
Interest income	132.1	137.6	136.6	160.1	193.2	228.4
Interest expense	85.6	82.2	77.0	89.7	109.4	129.4
NII	46.5	55.3	59.6	70.4	83.8	99.0
Non-interest income	19.6	19.4	21.4	24.3	29.1	34.3
Net revenues	66.1	74.8	81.0	94.7	112.9	133.3
Operating expenses	33.8	36.9	42.9	48.5	55.5	63.6
PPOP	32.3	37.9	38.1	46.2	57.4	69.7
Provisions	11.7	16.6	12.2	10.4	14.1	18.6
PBT	20.6	21.2	25.8	35.8	43.3	51.1
Tax	4.9	5.5	6.5	9.0	10.9	12.9
PAT	15.7	15.8	19.4	26.8	32.4	38.2

Balance sheet	FY20	FY21	FY22	FY23e	FY24e	FY25e
Share capital	3.99	3.99	4.21	4.21	4.21	4.21
Reserves & surplus	141	157	184	207	236	270
Net worth	145	161	188	211	240	274
Deposits	1,523	1,726	1,817	2,048	2,409	2,841
Borrowings	104	91	154	192	212	233
Other liability	35	35	51	46	49	53
Total liabilities	1,806	2,014	2,209	2,497	2,910	3,400
Fixed assets	4.8	4.9	6.3	6.6	6.8	7.0
Investments	359	372	392	420	492	580
Loans	1,223	1,319	1,449	1,739	2,052	2,360
Cash	126	196	210	172	196	288
Other assets	94	122	152	160	163	166
Total assets	1,806	2,014	2,209	2,497	2,910	3,400

Ratios	FY20	FY21	FY22	FY23e	FY24e	FY25e
Growth (%)						
NII	11.3	19.0	7.7	18.1	19.1	18.1
PPOP	14.2	17.3	0.5	21.3	24.4	21.3
PAT	19.8	0.6	22.9	38.1	21.1	17.8
Advances	10.9	7.9	9.9	20.0	18.0	15.0
Deposits	12.8	13.4	5.2	12.7	17.7	17.9
Spread (%)						
Yield on Funds	8.2	7.7	6.9	7.3	7.6	7.7
Cost of Funds	5.6	4.8	4.1	4.3	4.5	4.5
Spread	2.6	2.9	2.9	3.0	3.1	3.1
NIM	2.9	3.1	3.0	3.2	3.3	3.3
Asset quality (%)						
Gross NPAs	2.8	3.4	2.8	2.4	2.3	2.3
Net NPAs	1.3	1.2	1.0	0.9	0.9	0.9
Provisions	53	66	66	65	63	63
Return ratios (%)						
RoE	11.3	10.3	11.1	13.4	14.4	14.9
RoA	0.9	0.8	0.9	1.1	1.2	1.2
Per share (Rs)						
EPS	8	8	9	13	15	18
BV	73	81	89	101	114	130
ABV	65	73	83	93	106	120
Valuation (x)						
P/E	16.8	16.7	14.3	10.4	8.6	7.3
P/BV	1.8	1.6	1.5	1.3	1.2	1.0
P/ABV	2.0	1.8	1.6	1.4	1.2	1.1

Source: Company, Dalal & Broach Research

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